Chapter 15

Making Sure the IRS Gets Its Share

IN THIS CHAPTER

» **Outlining the breakdown of taxes and income**

» **Seeing how the IRS taxes securities**

» **Comparing the different types of retirement plans**

Yes, it's true what they say: The only sure things in life are death and taxes. Although taxes are an annoying necessity, investors do get tax breaks if they invest in securities for a long period of time, and you need a good understanding of the tax discounts investors receive. Additionally, the SIE exam tests your ability to recognize the different types of retirement plans, the specifics about each one, and the tax advantages.

In this chapter, I cover tax categories and rules, from distinguishing between types of taxes to calculating capital gains for securities received as gifts. And although enjoying retirement isn't quite as certain as pushing up daisies, I explain Uncle Sam's claim on the cash investors put into IRAs, Keoghs, and other retirement plans. As always, you can also count on some example questions and suggestions for further review.

Everything in Its Place: Checking Out Tax and Income Categories

The many lines you see on tax forms clue you in to the fact that the IRS likes to break things down into categories. The following sections explain progressive and regressive taxes, as well as types of personal income.

Touring the tax categories

The supreme tax collector (the IRS) has broken down taxes into a couple categories according to the percentage individuals pay. Your mission is to understand the different tax categories and how they affect investors:

- **Progressive taxes:** These taxes affect high-income individuals more than they affect low-income individuals; the more taxable money individuals have, the higher their income tax bracket. Progressive taxes include taxes on personal income (see the next section), gift taxes, and estate taxes. The SIE contains more questions on progressive taxes than on regressive taxes.
- **Regressive taxes:** These taxes affect individuals earning a lower income more than they affect people earning a higher income; everyone pays the same rate, so individuals who earn a lower income are affected more because that rate represents a higher percentage of their income. Examples of regressive taxes are payroll, sales, property, excise, gasoline, and so on.

Looking at types of income

The three main categories of income are earned, passive, and portfolio. (If you're especially interested in the details of how investments are taxed, you can find more information at `www.irs.gov/`.) You need to distinguish among the different categories because the IRS treats them differently:

- **Earned (active) income:** People generate this type of income from activities that they're actively involved in. Earned income includes money received from salary, bonuses, tips, commissions, and so on. Earned income is taxed at the individual's tax bracket.
- **Passive income:** This type of income comes from enterprises in which an individual isn't actively involved. Passive income includes income from limited partnerships (see Chapter 10) and rental property. When you see the words *passive income* on the SIE exam, immediately start thinking that the income comes from a limited partnership (DPP). Passive income is in a category of its own and can only be written off against passive losses.
- **Portfolio income:** This type of income includes interest, dividends, and capital gains derived from the sale of securities. The following section tells you more about taxes on portfolio income. Portfolio income may be taxed at the investor's tax bracket or at a lower rate, depending on the holding period.

Noting Taxes on Investments

You need to understand how dividends, interest, capital gains, and capital losses affect investors. To make your life more interesting, the IRS has given tax advantages to people who hold onto investments for a long period of time, so familiarize yourself with the types of taxes that apply to investments and how investors are taxed.

Interest income

Interest income that bondholders receive may or may not be taxable, depending on the type of security or securities held:

- **Corporate bond interest:** Interest received from corporate bonds is taxable on all levels (federal, state, and, local, where local taxes exist).
- **Municipal bond interest:** Interest received from municipal bonds is federally tax free; however, investors may be taxed on the state

and local levels, depending on the issuer of the bonds (see Chapter 8).

- **U.S. government securities interest:** Interest received from U.S. government securities, such as T-bills, T-notes, T-STRIPS, and T-bonds, is taxable on the federal level but is exempt from state and local taxes.

REMEMBER Even though T-bills, T-STRIPS, and any other zero-coupon bonds don't generate interest payments (because the securities are issued at a discount and mature at par), the difference between the purchase price and the amount received at maturity is considered interest and is subject to taxation.

Dividends

Dividends may be in the form of cash, stock, or product. However, cash dividends are the only ones that are taxable in the year that they're received. The following sections discuss dividends in cash, in stock, and from mutual funds.

Cash dividends

Qualified cash dividends received from stocks are taxed at a maximum rate of 0 percent, 15 percent, or 20 percent depending on the investor's adjusted gross income (AGI). Qualified dividends are ones in which the customer has held onto the stock for at least 61 days (91 days for preferred stock). The 61-day holding period starts 60 days prior to the *ex-dividend date* (the first day the stock trades without dividends). If the investor has held the stock for less than the 61-day holding period, the dividends are considered *nonqualified* and investors are taxed at the rate determined by their regular tax bracket.

Stock dividends

Stock dividends don't change the overall value of an investment, so the additional shares received are not taxed (for details, see Chapter 6). However, stock dividends do lower the cost basis per share for tax purposes. The cost basis is used to calculate capital gains or losses.

Dividends from mutual funds

Dividends and interest generated from securities that are held in a mutual fund portfolio are passed through to investors and are taxed as either *qualified* (see the earlier section "Cash dividends") or *non-qualified*. The type(s) of securities in the portfolio and the length of time the fund held the securities dictate how the investor is taxed. Here's how mutual fund dividends are taxed:

Federally Tax Free	***0, 15, or 20 Percent***	***Ordinary Income***
Municipal bond funds	Stock funds	Corporate bond funds
	Long-term capital gains	Short-term capital gains

REMEMBER One of the great things about owning mutual funds is that they're nice enough to let you know what taxes you're going to be subject to. At the beginning of each year you will receive a statement from the mutual fund that lets you know how much you received the previous year in dividends, in short-term capital gains, and in long-term capital gains. The mutual fund also sends a copy of the statement to the IRS.

The mutual fund determines the long-term or short-term gains by its holding period, not the investors'. Also, remember that you'd be subject to capital gains tax and taxes on dividends even if the money were reinvested back into the fund.

At the sale: Capital gains and losses

Capital gains are profits made when selling a security, and *capital losses* are losses incurred when selling a security. To determine whether an investor has a capital gain or capital loss, you have to start with the investor's cost basis. The *cost basis* is used for tax purposes and includes the purchase price plus any commission (although on the SIE exam, the test designers usually don't throw commission into the equation). The cost basis remains the same unless it's adjusted for things like stock splits, stock dividends, accretion, amortization, and so on.

Note: Accretion and amortization come into play when an investor purchases a bond at a price other than par. The bond cost basis will be adjusted toward par over the amount of time until maturity. You won't be asked to calculate it on the SIE exam.

Incurring taxes with capital gains

An investor realizes capital gains when he sells a security at a price higher than his cost basis. Capital gains on any security (even municipal and U.S. government bonds) are fully taxed on the federal, state, and local level.

REMEMBER A capital gain isn't realized until a security is *sold.* If the value of an investment increases, it's considered appreciation or an unrealized gain, and if the investor doesn't sell, the investor doesn't incur capital gains taxes.

Capital gains are broken down into two categories, depending on the holding period of the securities:

- **Short-term capital gains:** These gains are realized when a security is held for *one year or less.* Short-term capital gains are taxed according to the *investor's tax bracket.*
- **Long-term capital gains:** These gains are realized when a security is held for *more than one year.* To encourage investors to buy and hold securities, long-term capital gains are currently taxed at a rate in line with cash dividends (0, 15, or 20 percent depending on the investor's adjusted gross income). (For more information on capital gains and losses, visit the Internal Revenue Service's website at `www.irs.gov/taxtopics/tc409`).

Offsetting gains with capital losses

An investor realizes a capital loss when selling a security at a value lower than the cost basis. Investors can use capital losses to offset capital gains and reduce the tax burden. As with capital gains, capital losses are also broken down into short-term and long-term:

- **Short-term capital losses:** An investor incurs these losses when he has held the security for *one year or less.* Investors can use short-term capital losses to offset short-term capital gains.
- **Long-term capital losses:** An investor incurs these losses when he has held the security for *more than one year.* Long-term capital losses can offset long-term capital gains.

When an investor has a net capital loss, he can write off $3,000 per year against his earned income and carry the balance forward the next year.

The following question involves capital-loss write-offs.

EXAMPLE In a particular year, Mrs. Jones realizes $30,000 in long-term capital gains and $50,000 in long-term capital losses. How much of the capital losses would be carried forward to the following year?

(A) $3,000

(B) $17,000

(C) $20,000

(D) $30,000

The correct answer is Choice (B). Mrs. Jones has a net capital loss of $20,000 (a $50,000 loss minus the $30,000 gain). Mrs. Jones writes off $3,000 of that capital loss against her earned income and carries the additional loss of $17,000 forward to write off against any capital gains she may have the following year. In the event that Mrs. Jones doesn't have any capital gains the following year, she can still write off $3,000 of the $17,000 against any earned income and carry the remaining $14,000 forward, which can be used to offset any capital gains the following year.

The wash sale rule: Adjusting the cost basis when you can't claim a loss

To keep investors from claiming a loss on securities (which an investor could use to offset gains on another investment — see the preceding section) while repurchasing substantially (or exactly) the same security, the IRS has come up with the *wash sale rule;* according to this rule, if an investor sells a security at a capital loss, the investor can't repurchase the same security or anything convertible into the same security for 30 days prior to or after the sale and be able to claim the loss. An investor doesn't end up in handcuffs for violating the wash sale rule; he simply can't claim the loss on his taxes.

However, the loss doesn't go away if investors buy the security within that window of time — investors get to adjust the cost basis of the security. For instance, if an investor were to sell 100 shares of ABC at a $2-per-share loss and purchase 100 shares of ABC within 30 days for $50 per share, the investor's new cost basis (excluding commissions) would be $52 per share (the $50 purchase price plus the $2 loss on the shares sold), thus lowering the amount of capital gains he would face on the new purchase.

The following question tests your understanding of the wash sale rule.

EXAMPLE If Melissa sells DEF common stock at a loss on June 2, for 30 days she can't buy

1. DEF common stock
2. DEF warrants
3. DEF call options
4. DEF preferred stock

(A) I only

(B) I and IV only

(C) I, II, and III only

(D) I, II, III, and IV

The answer you want is Choice (C). You need to remember that Melissa sold DEF at a loss; therefore, she can't buy back the same security (as in Statement I) or anything convertible into the same security (as in Statements II and III) within 30 days to avoid the wash sale rule.

Warrants give an investor the right to buy stock at a fixed price (see Chapter 6), and call options give investors the right to buy securities at a fixed price (Chapter 11). However, Statement IV is okay because DEF preferred stock is a different security and is not convertible into DEF common stock (unless it's convertible preferred, which it isn't; if it were convertible, the question would have told you so). For Melissa to avoid the wash sale rule, she can't buy DEF common stock, DEF convertible preferred stock, DEF convertible bonds, DEF call options, DEF warrants, or DEF rights for 30 days. However, she can buy DEF preferred stock, DEF bonds, or DEF put options (the right to sell DEF).

REMEMBER Putting it in simple terms, the cost basis is the price an individual paid for an investment. This cost includes brokerage fees, trading costs, and loads (sales charges for mutual funds). Now, things can get a little more complex in the event of stock splits, mergers, and dividend payments. The main thing that you will need to know for the SIE exam is that the cost basis is used for calculations to determine an investor's tax liability when selling securities. More recently, brokerage firms, mutual funds, and so on are required to provide investor's information on their tax liability such as amount of short-term capital gains, long-term capital gains, dividends, interest, and so on.

Exploring Retirement Plan Tax Advantages

I place retirement plans in with taxes because retirement plans give investors tax advantages. When you're reviewing this section, zone in on the differences and similarities among the different types of plans. The contribution limits are important but not as important as understanding the plan specifics and who's qualified to open which type of plan.

Qualified versus nonqualified plans

The IRS may dub employee retirement plans as qualified or nonqualified. The distinction concerns whether they meet IRS and Employee Retirement Income Security Act (ERISA) standards for favorable tax treatment.

Tax-qualified plans

A *tax-qualified plan* meets IRS standards to receive a favorable tax treatment. When you're investing in a tax-qualified plan, the contributions into the plan are made from pretax dollars and are deductible against your taxable income. Not only are contributions into the plan tax-deductible, but the account also grows on a tax-deferred basis, so you aren't taxed until you withdraw money from the account at retirement. Individual Retirement Accounts (IRAs) are an example of a tax-qualified retirement plan. The two types of corporate tax-qualified retirement plans are defined contribution and defined benefit plans. These include 401(k)s, profit-sharing plans, and money-purchase plans. Most corporate pension plans are tax-qualified plans.

REMEMBER Because investors don't pay tax on the money initially deposited or on the earnings, the entire withdrawal from a tax-qualified plan is taxed at a rate determined by the investor's tax bracket, which is normally lower at retirement. Additionally, distributions taken before age 59½ are subject to a 10 percent tax penalty (10 percent is added to the investor's tax bracket) except in cases of death, disability, first-time home buying, educational expenses for certain family members, medical premiums for unemployed individuals, and so on.

Nonqualified plans

Obviously, a nonqualified plan is the opposite of a qualified plan. *Nonqualified plans,* such as deferred compensation plans, payroll deduction plans, and 457 plans do not meet IRS and ERISA standards for favorable tax treatment. If you're investing in a nonqualified retirement plan, deposits are not tax-deductible (they're made from after-tax dollars); however, because you're dealing with a retirement plan, earnings in the plan do build up on a tax-deferred basis. People may choose to invest in nonqualified plans because either their employer doesn't have a qualified plan set up or the investment guidelines are not as strict (investors may be able to contribute more and invest in a wider choice of securities).

REMEMBER Because investors have already paid tax on the money initially deposited but not on the earnings, withdrawals from nonqualified plans are only partially taxed at the rate determined by the investor's tax bracket. The investor is taxed only on the amount that exceeds the amount of the contributions made.

IRA types and contribution limits

You'll likely be tested on a few different types of retirement plans and possibly the contribution limits. When you're looking at this section, understand the specifics of the types of plans and view the contribution limits as secondary. The contribution limits change pretty much yearly, and the SIE questions may not change that often. If you have a rough idea of the contribution limits, you should be okay. For updates and additional information, you can go to `www.irs.gov/retirement-plans/plan-participant-employee/retirement-topics-ira-contribution-limits` .

Traditional IRAs (individual retirement accounts)

IRAs are tax-qualified retirement plans, so deposits into the account are made from pretax dollars (they're tax-deductible). IRAs are completely funded by contributions that the *holder of the account* makes. Regardless of whether individuals are covered by a pension plan, they can still deposit money into an IRA. Here's a list of some of the key points of IRAs:

- IRAs may be set up as *single life* (when the owner is the beneficiary of the account), *joint and last survivor* (when the sole beneficiary of the account is his or her spouse and the spouse is more than ten years younger than the owner), or *uniform lifetime* (when the spouse is not the sole beneficiary or the spouse is not more than ten years younger than the owner).
- Permissible investments for IRAs include stocks, bonds, mutual funds, U.S. gold and silver coins, and real estate.
- The maximum contribution per person is $5,500 per year, with an additional catch-up contribution of $1,000 per person allowed for investors age 50 or older. Excess contributions are taxed at a rate of 6 percent until withdrawn.
- A husband and wife can have separate accounts with a maximum contribution of $5,500 per year each, whether both are working or one is working.
- Contributions into the IRA are fully deductible for individuals not covered by employer pension plans.

  If investors are covered by an employer pension plan, deposits into an IRA may or may not be tax-deductible. Although I think that the chances of your being tested on the values are slim, if an individual is covered by an employer pension plan and earns up to $63,000 per year ($101,000 jointly), deposits made into an IRA are fully deductible. The deductions are gradually phased out and disappear when an individual earns more than $73,000 per year ($121,000 jointly).
- When an investor starts to withdraw funds from an IRA, the investor is taxed on the entire withdrawal (the amount deposited, which was not taxed, and the appreciation in value). The withdrawal is taxed as ordinary income.
- Withdrawals can't begin before age 59½, or investors have to pay an early withdrawal penalty of 10 percent added to the investor's rate according to his tax bracket. An investor isn't subject to the 10

percent tax penalty in cases of death, disability, first-time homebuyers, and a few other exceptions. Obviously, dead retirees won't be making withdrawals, but their beneficiaries will be. In this case, the beneficiaries aren't hit with the 10 percent penalty.

- Withdrawals must begin by April 1 of the year after the investor reaches age 70½ (the *required beginning date*, or RBD). Investors who don't take their *required minimum distribution* (RMD) by that time are subject to a 50 percent tax penalty on the amount they should have withdrawn. The IRS provides minimum distribution worksheets to help you determine the amount that needs to be taken in order to avoid the penalty (you can find them at `www.irs.gov/retirement-plans/plan-participant-employee/required-minimum-distribution-worksheets`).
- Deposits into IRAs are allowed up to April 15 (tax day) to qualify as a deduction for the previous year's taxes.

Roth IRAs

Anyone who doesn't make too much money can open a Roth IRA. The key difference between a traditional IRA and a Roth IRA is that withdrawals from a Roth IRA are tax-free. However, deposits made into the Roth IRA are not tax-deductible (made from after-tax dollars). Provided that the investor has held onto the Roth IRA for over five years and has reached age 59½, he can withdraw money from the Roth IRA without incurring any taxable income on the amount deposited or on the appreciation in the account.

REMEMBER The maximum that an individual may contribute to a traditional IRA and Roth IRA is $5,500 per year combined (or $6,500 if over age 50). There is also a catch-up contribution of $1,000 allowed for individuals age 50 and older.

Investors who have an adjusted gross income of more than $135,000 per year ($199,000 jointly) can't contribute to a Roth IRA.

Simplified employee pensions (SEP-IRAs)

An SEP-IRA is a retirement vehicle designed for small business owners, self-employed individuals, and their employees. SEP-IRAs allow participants to invest money for retirement on a tax-deferred basis. Employers can make tax-deductible contributions directly to their employees' SEP-IRAs. As of 2018, the maximum employer contribution to each employee's SEP-IRA is 25 percent of the employee's compensation (salary, bonuses, and overtime) or $55,000 (subject to cost-of-living increases in the following years), whichever is less. Employees who are part of the plan may still make annual contributions to a traditional or Roth IRA.

401(k) and 403(b)

There are certainly a number of qualified retirement plans besides IRAs. 401(k)s and 403(b)s are two that you should know a little about before taking the SIE exam.

401(k) plans

As stated previously, a 401(k) is a corporate retirement plan. With this type of plan, employees can contribute a percentage of their salary up to a certain amount each year (as such, it's a defined contribution plan). Since it's a qualified plan, the amount contributed by the employee into the 401(k) is deducted from the employee's gross income. In addition, in most cases, the employer matches the employee's contribution up to a certain amount (for example, 25 percent, 50 percent, and so on). The account grows on a tax-deferred basis, so everything withdrawn from the account at retirement is taxable.

403(b) plans

These are salary reduction plans for public school (elementary school, secondary school, college, and so on) employees. As with 401(k)s, employees can elect to have a portion of their pay put into the retirement plan that's tax deferred. However, unlike 401(k)s, the employer doesn't match a percentage of the contributions.

REMEMBER Because the IRS wants to be able to collect taxes, the holders of IRAs (except for Roth IRAs) and other qualified plan participants must start withdrawing money at a certain point. Plan participants must take a required minimum distribution (RMD) by April 1 of the year after they turn age 70½. In addition, they must continue to take additional minimum distributions each subsequent year until all the money is out of the account.

TIP You will not likely be asked to figure out the required minimum distribution amount on the SIE exam but for your, your family members', or clients' knowledge, you can work out the required minimum distribution right on the IRS website at www.irs.gov/retirement-plans/plan-participant-employee/retirement-topics-required-minimum-distributions-rmds.